

BELLE CHEVRE TRANSACTION SUMMARY

December 2014



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The Transaction

- 🐼 Seeking small number of investors
- 🐼 Convertible payment-in-kind (PIK) debt offering of up to \$500,000
- 🐼 Start with \$50,000; additional investments at investor option
- 🐼 Annual interest rate of 12%
- 🐼 Convertible to equity at discount at debtholder's option in next equity round
- 🐼 Next round of \$2.5 – 4mm to be raised in Q4 2014 / Q1 2015

Aggressive Top Line Growth Goals

2015	2016	2017	2018
\$3mm	\$6	\$11	\$24

*Triple in 2015, double every year
for the next 3 years*

Attractive Gross Margins

Customer	Avg. Gross Margin
Costco	50.5%
Gourmet Foods Int'l	37.7%
Seacrest	35.8%
Swiss American	28.8%
Whole Foods	41.5%
World's Best	42.9%

Executive Management

- 🐼 Tasia Malakasis - President
 - 🐼 Former internet marketing and product management executive
 - 🐼 VP Product Mgmt & Mktg PointRoll (acquired by Gannett for \$100mm)
 - 🐼 VP Biz Dev Teracruz
 - 🐼 VP Sales Doubleclick (acquired by Google for \$3Billion)
 - 🐼 Purchased Belle Chevre in 2007
 - 🐼 Created several new lines of award-winning cheeses
 - 🐼 Published cookbook author
 - 🐼 Editor-at-Large for Southern Living magazine
 - 🐼 Food and lifestyle expert



Executive Management – cont'd

🐼 Arlen Gould – VP of Sales

🐼 Former VP of Sales for US for SodaStream

- 🐼 Launched national retail program from internet-based selling model
- 🐼 Trained and hired all national sales rep orgs
- 🐼 Key account calls and management: BB&B, Bloomingdales, Macys, Sears, Target, Costco
- 🐼 Drove sales from \$7mm to \$32mm during tenure; now estimated at over \$200mm

🐼 Co-Owner and Executive VP of Cardini Salad Dressings

- 🐼 Purchased when doing <\$1mm in annual revenues
- 🐼 Grew to \$15mm

🐼 President of Lanzi Candy Company

- 🐼 Started with \$90k in revenues
- 🐼 Grew to \$2mm before acquisition by Sunmark

Executive Management – cont'd

- Craig Pace – Chief Financial Officer
 - Co-founder and COO of Newpoint Advisors Corporation
 - Assist mfg, business services, and food companies experiencing cash flow problems
 - \$2mm in consulting income in year 1 operations
 - 18 clients over past year, ranging from \$1mm in revenues to over \$300mm
 - Winner for the Restructuring Deal of the Year for Small Markets by Global M&A Network
 - Co-founder of Pathfinder Group
 - Advisory/investment banking/private equity group focused on small companies
 - Investment banker for flour mill deal that won Small Company Turnaround of the Year by the Turnaround Management Association
 - Senior Consultant for Morris Anderson
 - Leading turnaround financial advisory firm based in Chicago
 - Served over 20 clients in automotive, building products, consumer products, farm implements, financial services, food, grocery, plastics, construction, technology, and utilities
 - Co-led firm's distressed investment banking practice

Capital

- This convertible debt round to assist with liquidity in getting to larger equity round
- Finalizing funding agreements for
 - Accounts receivable
 - cheaper funding source with higher advance rates
 - in place this week
 - Providing temporary overadvances until production order financing in place
 - Production order
 - will provide funding to purchase raw materials required to complete orders
 - should be in place mid- to late November
- Equity round of \$2.5-4mm+ in Q4 2014 / Q1 2015

Competition, Environment, & Industry

- Products are unique in marketplace and have strong reputation
- Over 100 national and international awards
- Products are “on trend”
 - Artisan
 - High protein
 - Relatively low fat
 - Robust flavor
 - Substitute for cow’s milk products for lactose-intolerant people
- Goat milk products poised to be the next Greek yogurt
 - More mass acceptance
 - More strategic buyer interest
 - More investor interest



Cheese Market

- Cheese is largest segment of \$50b US dairy market
- \$22b, about 44%
- Very segmented market – top 4 players represent only 27% of market
 - Kraft 14%
 - GM 5%
 - Dean 4%
 - Groupe Danone 4%
- 83% of dairy sales occur in supermarkets

Some General Trends

- As Americans learn more about food and where it comes from, they are increasingly choosing unprocessed over processed varieties
- Higher-income consumers looking for artisanal cheeses produced in small batches
- Retailers and cheese producers expected to continue to educate consumers about specialty cheeses
- Cheese sales in the U.S. to grow at ~4 % CAGR in the long run (vs 3.1% for dairy overall as forecasted by Marketline)
- Specialty cheeses to grow faster than overall cheese category so >4%

Market Opportunity – Retail Breakfast Cheeses ONLY

Supermarkets with > \$2mm annual sales	37,459
Breakfast cheese unit sales per year (avg 6 / week)	312
Average revenue per unit	\$3.29
Total Market Opportunity	\$38.5mm

Exploiting Market Opportunity

CONSUMER INFLUENCE FACTORS IN PURCHASING AN UNFAMILIAR CHEESE

"How likely would the following persuade you to buy a new or different cheese?"

	%
An in-store sample	85
I have had it at a restaurant, party or event	83
Recommended by family or friends	81
I have a coupon or discount	78
Featured on a cooking show	54
An ad on TV	43
A print ad in a magazine or newspaper	40
An online advertisement	29

Influence Factors in Purchasing an Unfamiliar Cheese, February-March 2012 Base: internet users ages 18+ who personally buy cheese for themselves or their household. Source: Mintel

Governance

- 🐼 Building independent Boards
- 🐼 Board of Directors
 - 🐼 5 members, including Tasia and Craig
 - 🐼 Remaining members TBD but candidate list includes:
 - 🐼 **David Rachlin:** CEO of SodaStream USA, VP International Business & Brand Development of Ben & Jerry's, COO Boursin Cheese
 - 🐼 **Henry Wolfe:** corporate governance expert and author, Vice Chairman of the Board for Arctic Glacier Group Holdings, Inc., a \$300mm ice product manufacturer based in Canada
 - 🐼 **Scott Davis:** CEO of Siemens Hearing Instruments
 - 🐼 **Cathy Jaros:** Managing Director of The Peakstone Group, an investment bank, Chair of the IMAP Food & Beverage Industry Group, Director of Strategy for Kraft Foods
 - 🐼 **Danielle Jin:** Vice President of Marketing for PepsiCo, Director of Marketing for Ghirardelli Chocolate
 - 🐼 **Henry Yaeger:** Director of Strategy for Hershey

Human Resources

- 🐄 Production team *extremely* dedicated to success of company
- 🐄 Labor rates very competitive
- 🐄 Non-production employees can make cheese on an as-needed basis; working on cross-training production employees in tours, store, and admin functions
- 🐄 “Make it happen, do what it takes” attitude
- 🐄 Instituting quarterly profit sharing plan for all employees
- 🐄 Teaching all employees how to read financials so that they know the impact of their and their colleague’s actions



Information Technology

- Existing system not employed to potential but more than sufficient for near, mid-term needs
- Minimal investment required in short-term
- Building reliance on formal systems
 - QuickBooks for Manufacturing for accounting and materials planning
 - KPI.com SaaS for
 - CRM
 - Document storage and archiving
 - Human resources
 - Issue resolution for customers and vendors
 - Project and task management
 - Timesheets and approvals

Production & Operations

- No immediate need for expensive automation
 - Labor is small part of costs
 - Assuming production labor fully utilized, labor is only 10% of revenues, vs. 37% for curd and 11% for packaging
 - Avg production labor rate of \$8.36 per hour means capital investment can wait
- Team utilization at 40-50%
- Recently proved our production capacity
 - Produced \$50k in orders in 3 days
 - Equates to \$83k/week in sales
 - About \$4.3mm in annual sales with current team and equipment

Research & Product Development

- Many brand extension products already in place
 - Cheesecakes
 - NY Times reviewed
 - 2 time winner for best desert at Fancy Food Show in NYC (combined annual revenue of exhibitors is \$8.3 billion)
 - Ice cream
 - Body care products
- Virtually unlimited opportunity to extend the brand through
 - New cheese product introductions, with built-in focus groups through creamery tours
 - Goat milk and cream products
 - Frostings
 - Outsourcing
 - Co-branding

Packaging innovation

The New York Times

**To Indulge: A Cheesecake to Serve 6,
but Not if You're Lucky**

To define "delicacy," just look to the cheesecake made by Belle Chevre, a goat cheese company in Elkmont, Ala. Its confection, made from sweetened goat cheese with a whiff of lemon in a graham cracker crust, can end a meal with ethereal lushness. At a little more than a pound and a half, the cake, sold frozen, serves six to eight, and is ideal with fresh fruit, either tropical ones now or berries before you know it: \$29.99 at Murray's Cheese on Bleecker Street, (212) 243-3289, and \$34.99 from murrayscheese.com.

Sales, Marketing, & Public Relations

- Company plays larger than it is – positive press coverage has outpaced product distribution capabilities
- Renewed focus on core products that are both unique and profitable

Team and infrastructure now in place to take advantage of high level of brand recognition

Sales, Marketing, & Public Relations – cont'd

- Upcoming promotional demos should drive additional orders
 - California
 - Chicago
 - New York
 - Texas



- All densely populated areas, which translates into freight cost efficiencies
- Safeway coming on board as customer with 140 stores



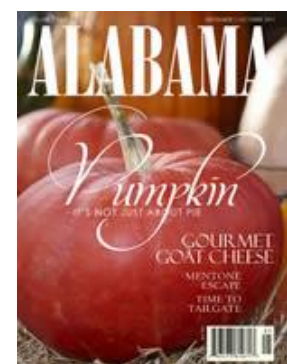
- Working with Kroger's in-house broker to develop rollout plan to all 2,000 stores

- Costco
 - Currently in two divisions; going to run *profitable* holiday promotions to boost sales
 - New broker representation for 3 more regions



Sales, Marketing, & Public Relations – cont'd

A sampling of the positive press...



Sales, Marketing, & Public Relations – cont'd

- 🐼 *Southern Made Fresh* cookbook out in March
- 🐼 Published by Southern Living (owned by Time)
 - 🐼 3 million circulation
 - 🐼 18th highest circ magazine in country
- 🐼 Tasia is author - *first time Southern Living has put an individual as an author on one of their branded cookbooks*
- 🐼 NYC-based public relations firm promoting book – opportunity for book signings and Belle Chevre demos in Costco, Whole Foods, etc.

Sales, Marketing, & Public Relations – cont'd

Customer	Total Stores	Number of Stores Served					Pct Stores
		2015	2016	2017	2018	2019	
Ahold	767			250	500	767	100.0%
Costco	441	69	291	431	431	441	100.0%
EarthFare	33	10	20	33	33	33	100.0%
Fairway	14	10	10	14	14	14	100.0%
Fairway Market	14	14	14	14	14	14	100.0%
HEB	311	39	69	129	249	311	100.0%
Kroger	3,519	200	400	800	1,600	3,519	100.0%
KVAT	105			25	50	105	100.0%
Meijer	202	20	40	80	160	202	100.0%
Publix	1,273	255	509	764	1,018	1,273	100.0%
Roundy's	163			30	90	163	100.0%
Rouses	37	10	20	37	37	37	100.0%
Safeway	1,335	140	280	560	800	1,335	100.0%
Small chains/independents	6,300	175	250	500	2,000	4,500	71.4%
Sprouts	150			50	100	150	100.0%
Superior Grocers	40	10	20	40	40	40	100.0%
Target	1,793				200	800	44.6%
Wal Mart	4,779				300	1,500	31.4%
Wegman's	83	20	40	83	83	83	100.0%
Whole Foods	347	100	200	300	347	347	100.0%
Total Stores	21,706	1,072	2,163	4,140	8,066	15,634	72.0%

Sales, Marketing, & Public Relations – cont'd

		Number of Stores Served					
	Total Stores	2015	2016	2017	2018	2019	Pct Stores
Total Stores	21,706	1,072	2,163	4,140	8,066	15,634	72.0%
Units Sold (000s)		892	1,800	3,444	6,711	13,007	
Avg. Price to Retailer		\$3.02	\$3.09	\$3.04	\$2.97	\$2.92	
Total Wholesale Revenue (\$000s)		\$2,689	\$5,555	\$10,485	\$19,950	\$37,982	

*"Kupina in va qui di not dol upa tibus am neta ala
mpan accen, nna etenda ide prat comade even qui."* Frank Stitt

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Great & Super Headline Here

GIVING THIS BOOK LIFE is Tasia Malakasis, a true Southerner brought back to her roots by owning and operating Belle Chevre, a goat cheese company in North Alabama. Her unique perspective allows her to see the true joy in simple ingredients brought together in a comforting way, that readers will appreciate no matter their hometown. With home-style, straightforward cooking with bright updates, Tasia captures the ripeness of this farm-fresh trend while providing readers with recipes made with ingredients from your local grocery; here's an accessible way to cook that's playful, easy, and fun.

Tasia Malakasis

A mother, a cheese maker, and a trained cook, she speaks to readers like she's known them forever with simple terms and spirited charm to help expand their cooking repertoire. And more, more, more...

Outdoor
House.

ISBN 10 54687-430-0
ISBN 13 978-54687-430-9



Southern Living
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HOUSE

SOUTHERN MADE FRESH

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TASIA MALAKASIS

Southern Living

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IMAGE NOT
AVAILABLE

Southern Living Southern Made Fresh: Vibrant Dishes Rooted in Homegrown Flavor

by Tasia Malakasis, The Editors of Southern Living Magazine

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Overview - A new breed of cooking is hitting the mainstream: farm-derived flavors in home-style, straightforward cooking with bright updates. Southern Made Fresh captures the dewy ripeness of this trend while providing readers with approachable recipes made with ingredients from your local grocery; here's an accessible way to cook that's playful, easy, and fun. A Southern perspective in the landscape and recipes bring the memories of grandma's kitchen rushing back, while a strong ... [See more details below](#)

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 **BELLE**
chevre.
25 YEARS OF BEAUTIFUL CHEESE

Sales, Marketing, & Public Relations – cont'd

🍷 Cooking show on cable television

- 🍷 Reality show filmed episode at Belle Chevre 2 months ago
- 🍷 Producer impressed by Tasia, her story, and personality
- 🍷 He pitched idea of a show starring Tasia to Food Network/Cooking Channel senior vice president (SVP)
- 🍷 Tasia met with SVP, Director, and Manager in NYC in early Oct
- 🍷 Concept development now underway



Selected Financial Forecast Information

In Thousands	2015	2016	2017	2018
Revenues	\$3,010	\$5,856	\$11,361	\$24,064
Gross Margin	900	1,876	3,726	7,825
<i>Gross Margin %</i>	30%	32%	33%	33%
EBITDA	-640	-320	956	4,825
<i>EBITDA %</i>	-21%	-6%	8%	20%
Assets	2,798	2,504	3,974	8,809
Liabilities	1,574	1,728	2,418	4,310
Stockholders' Equity	1,223	776	1,555	4,499

Potential Returns for \$250,000 Investment

	Forecasted	1/2 Forecast	1/4 Forecast
EBITDA - Year 4	\$4,825,000	\$2,412,500	\$1,206,250
x Exit Multiple*	8.1	8.1	8.1
= Exit Value	\$39,082,500	\$19,541,250	\$9,770,625
Less: Net Debt	-\$1,138,000	-\$1,138,000	-\$1,138,000
= Exit Value of Equity	\$37,944,500	\$18,403,250	\$8,632,625
Investment	\$250,000	\$250,000	\$250,000
% Ownership	4.6%	4.6%	4.6%
Value at Exit	\$1,757,124	\$852,213	\$399,757
Multiple of Orig. Investment	7.0	3.4	1.6
Annual Rate of Return	63%	36%	12%
* Source: Dealogic			

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